

Quarterly Shifts & IPDA Data Ranges



Market Structure Shift

Occurs every 3-4 months universally across all asset classes

Markets generate new interest and sense of urgency



Macro Perspective

Always look at price on Monthly-Weekly-Daily time frames

Learn to anticipate Intermediate Price Swings



Retracements vs Consolidation

Strong uptrends often lead to consolidation rather than retracement

Every 3-4 months, expect direction change or consolidation



60-40-20 Trading Days

Algorithm reaches back about 3 months worth of data

Identify Institutional Order Flow and reference points

The Quarterly Market Shift:

A. IPDA Data Ranges:

- ❑ 3-4 Month Major Market Shifts
- ❑ Smart Money Accumulation For Buy Programs
 - I. Manipulation In Underlying Vs. Benchmark
 - II. USDX Makes Lower Low – UsdChf Makes Higher Low
 - III. EurUsd Makes Lower Low – USDX Makes Lower High
 - IV. USDX Makes Higher High – EurUsd Makes Higher Low
- ❑ Smart Money Distribution For Sell Programs
 - I. Manipulation In Underlying Vs. Benchmark
 - II. USDX Makes Higher High – UsdChf Makes Lower High
 - III. EurUsd Makes Higher High – USDX Makes Higher Low
 - IV. USDX Makes Lower Low – EurUsd Makes Lower High



Open Float

Definition

The Current Open Interest Above and Below Current Market Price

- Buy Stops resting above Market Price
- Sell Orders resting below Market Price
- Total Open Interest of everyone in the market or hoping to be

Protective Stops

Short Protective Buy Stops Above Last Bearish Shift

Long Protective Sell Stops Under Last Bullish Shift

These create liquidity pools that institutions target

The Quarterly Shift:

Open Float:

- The Current "Open Interest" Above & Below Market Price
- Short Protective [Buy Stops] Above Last Bearish Shift
 - i. Buy Stops Above Short Term High
 - ii. Buy Stops Above Highest High In Last 3 months
 - iii. Buy Stops Above The Current 6 Month High
 - iv. Buy Stops Above The Current 12 Month High
- Longs Protective [Sell Stops] Under Last Bullish Shift
 - i. Sell Stops Below Short Term Low
 - ii. Sell Stops Below Lowest Low In Last 3 months
 - iii. Sell Stops Below The Current 6 Month Low
 - iv. Sell Stops Below The Current 12 Month Low

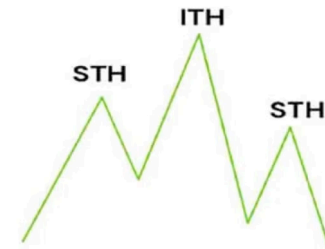


Intermediate Term Points

Intermediate Term High: a high with two lows next to it

Intermediate Term Low: same pattern but inverted

These create significant reference points for trading decisions



Defining Open Float Liquidity Pools

Identify Time Range

Take the last 3 months or the last month and a half to the next month and a half in the future

Look at 3 months of data on the Daily Chart

Find Key Levels

Locate Highest High and Lowest Low for 20/40/60 Days

This range between 60 days look back and cast forward is your Open Float

Categorize Levels

Near Term High and Low in the last 20 days

Short Term High and Low in the last 40 Days

Intermediate High and Low in the last 60 days

Identify Market Bias

If Buy Stops keep getting hit (rarely sell stops are hit), it's Bullish

If Sell Stops keep getting hit (rarely buy stops are hit), it's Bearish

Watch for Turtle Soup: False break above Old High or Old Low



Using IPDA Data Ranges

20-40-60 Concept

In this theory from Larry Williams' trading Methodology

Every 3 months a pattern transition occurs in price

Price aims for Liquidity that lies in the last 20, 40, and 60 days

These are where all your ***Fair Value Levels*** are located



If the Market is Bearish, it will look for the 20-40-60 past day lows for Liquidity

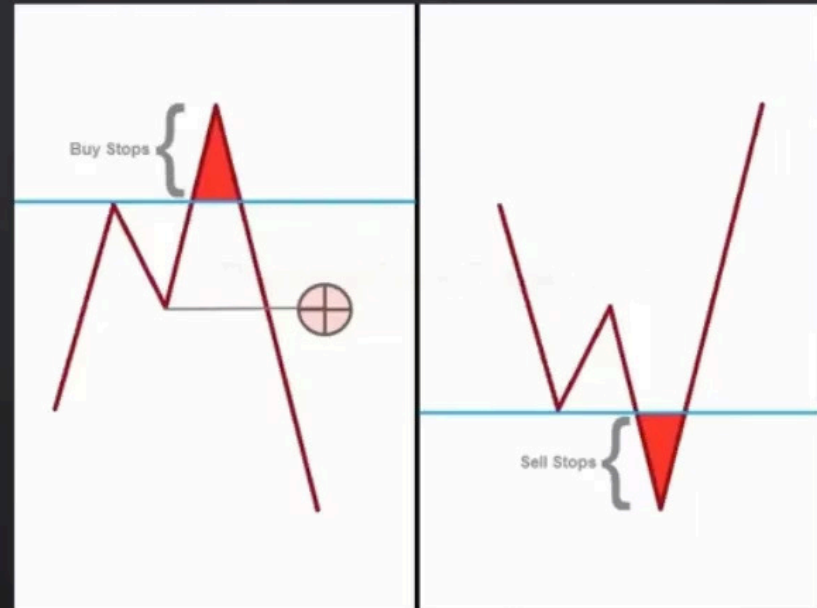
If it rejects and breaks market structure Bullish, that indicates a ***Quarterly Shift***

For Bull Markets, Open Interest indicator should follow price up and down. If Open Interest increases, the Central Bank is taking on risk – providing Liquidity for Buyers. A 15% or more drop in Open Interest indicates they're trying to provide Liquidity for a Buyer.

To implement: Put a vertical line on the beginning of every month, then draw out 60 days. Find the highest high and lowest low, then observe how price runs the **Buy Stops** and **Sell Stops**.

Defining Institutional Swing Points:

1. The market trades to a key level or just short of it - but fails to immediately react – indicating another run deeper before a reversal.
2. After the reversal - the opportunity is best taken when the short term Market Structure breaking point is retested.
3. First run on stops in a Market in an intermediate term price swing is ideal – smart money will look to unseat the aggressive trailing stops.



Using 10 Year Notes In HTF Analysis

Resources for Analysis

- Use Barchart.com for 10Y Treasury Prices/Futures Contract
- Use Investing.com for 10Y Treasury Yields

Inverse Relationship

Treasury Prices are inverted to its Yield:

- As Treasury Prices **Drops** – Treasury Yields **Increase**
- As Treasury Prices **Rise** – Treasury Yields **Decline**

Impact on USD Index

Long Term Funds Seek Yield:

- DXY can rally when Treasury Yields Increase (Treasury Prices drop)
- DXY can decline when Treasury Yields Decrease (Treasury Prices Rise)

This relationship is a typical tendency for USDx and can be used to confirm directional bias



Understanding this relationship helps identify potential cracks in correlation during **Quarterly Shifts**, providing additional confirmation for trade setups.

Interest Rate Differentials



Global Currency Rates

Different countries maintain varying interest rates

Check [FXstreet.com](https://www.fxstreet.com) for current global rates



Institutional Preference

Institutions like to Buy Strong Pairs & Sell Weak Pairs

They follow interest rate differentials for carry trade opportunities



Open Interest Signals

Open Interest indicates short covering by Smart Money

Shows they're not buying the other side of the trade for Buyers



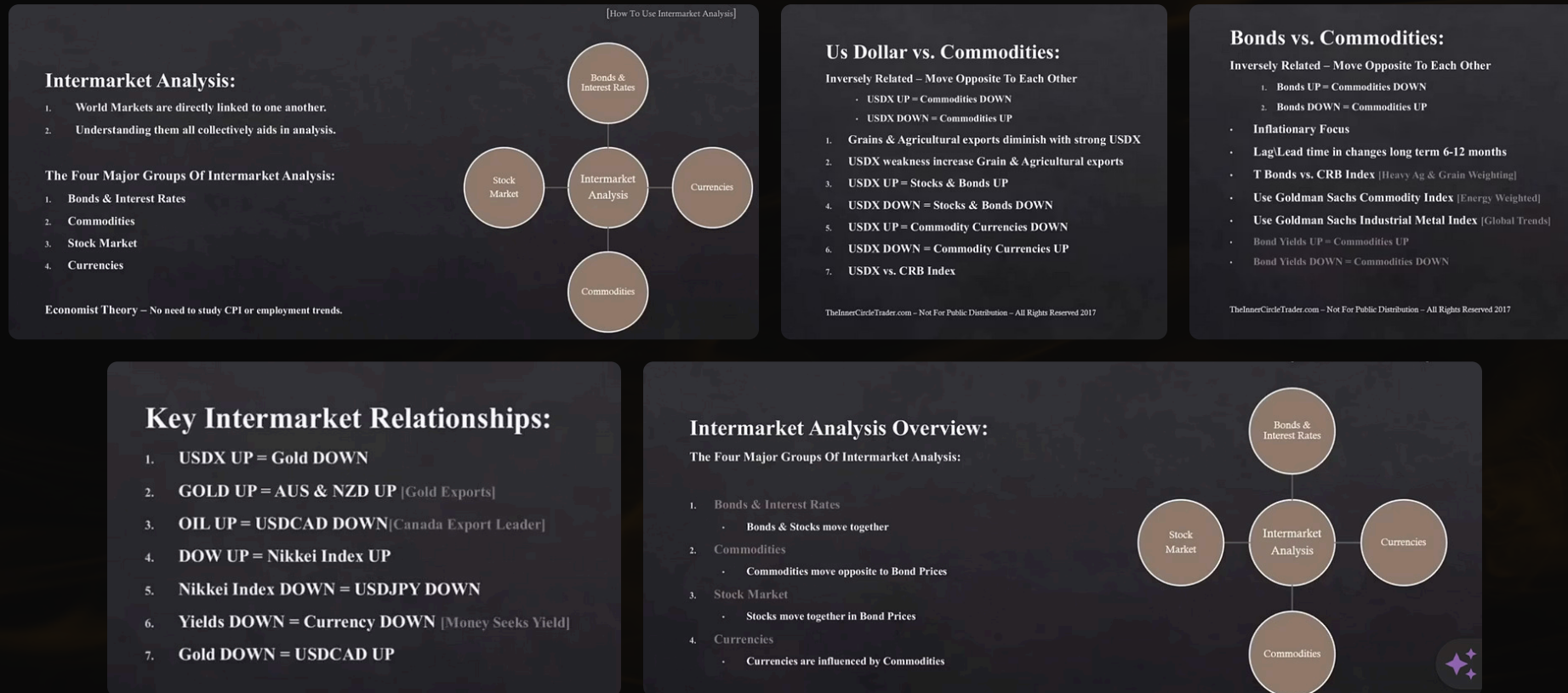
Technical Confirmation

Combine rate differentials with technical analysis

Look for Order Blocks that align with fundamental bias

Based on the differential interest rates between countries coupled with strong technicals and seasonal tendencies like elections, traders can identify high-probability trade setups with strong directional bias.

How To Use Intermarket Analysis

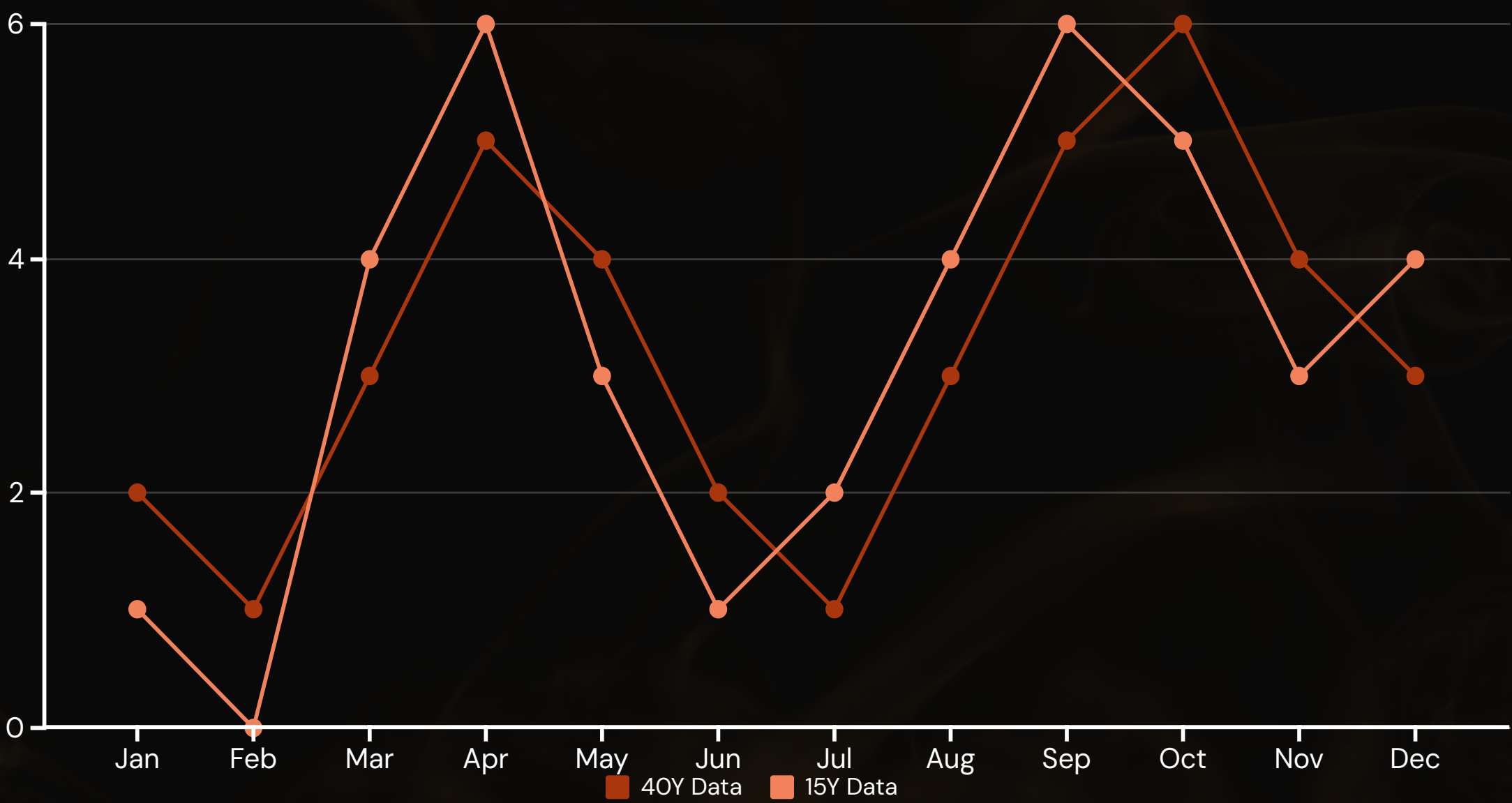


Intermarket analysis involves studying relationships between different markets to identify trading opportunities. Industrial metals like *Zinc* & *Tin* are heavily sensitive to global trends & tendencies like demand for metal.

By understanding correlations between markets – Traders can confirm directional bias and anticipate price movements before they occur in their target market.

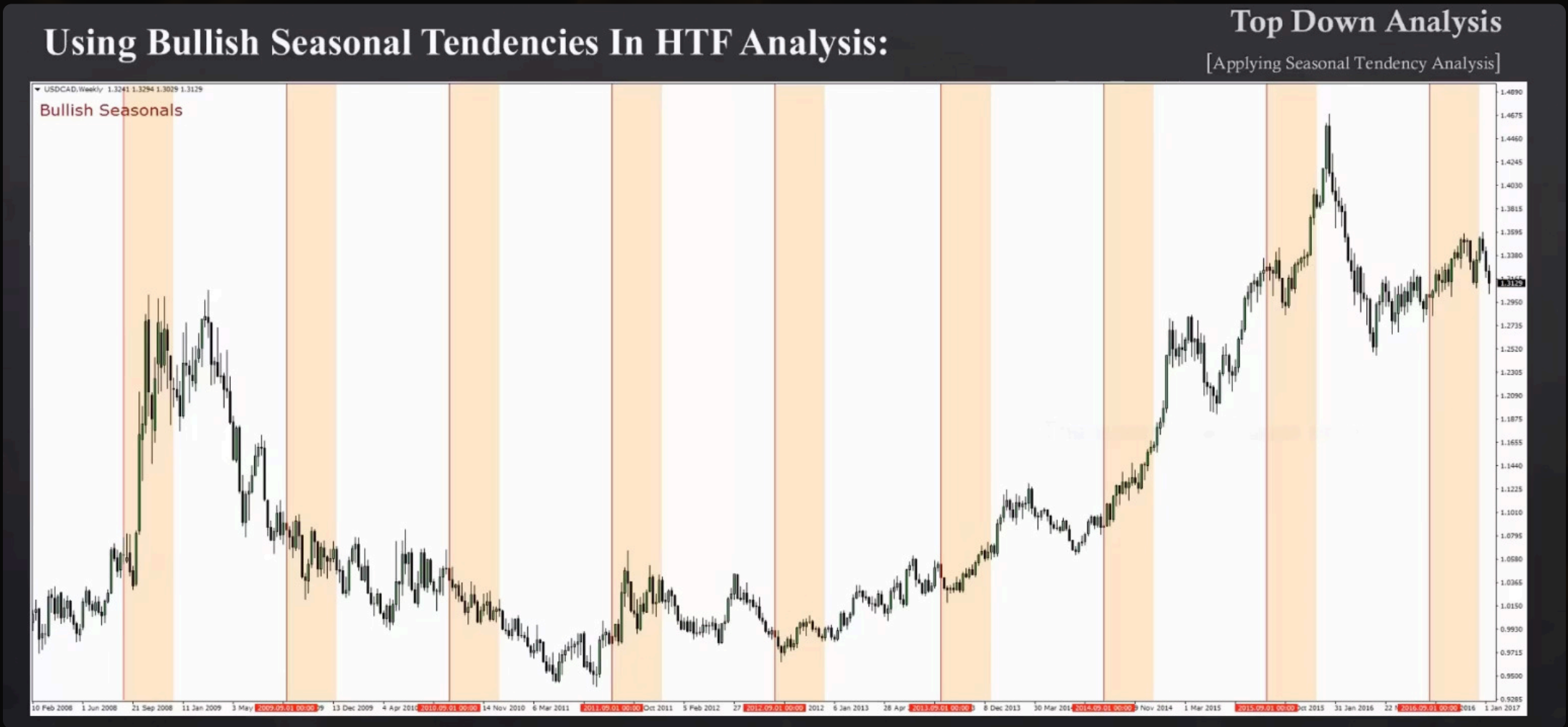
This approach provides a more comprehensive view of market forces and can significantly improve trading accuracy when combined with Technical Analysis.

How To Use Bullish Seasonal Tendencies In HTF Analysis



Seasonal tendencies are based on 40 years and 15 years worth of historical data. These patterns show how certain currencies tend to behave during specific times of the year.

For example, the **Canadian Dollar** (which is paired with the **USD**) tends to move in tandem with **Crude Oil Prices**. If we're *Bearish* on the **Canadian Dollar**, the **USD/CAD** is going to go up, and vice versa for *Bullish* scenarios.



Understanding these seasonal patterns provides traders with an additional layer of analysis to confirm directional bias and timing for entries and exits.

How To Use Bearish Seasonal Tendencies In HTF Analysis



Identify Contract Patterns

June contract has the strongest tendency to Rally and Decline

December contract has a very strong tendency to rally late in the year



Recognize Seasonal Periods

From Mid February down to Mid March – Strong tendency to trade down for the Kiwi Dollar

Kiwi Rally Mid March to April – Then sells off again

Then Makes another seasonal low around June – July



Apply to Current Conditions

Only use seasonal tendencies in context with current Market Conditions

Don't force trades – use as *Directional Bias* guidance



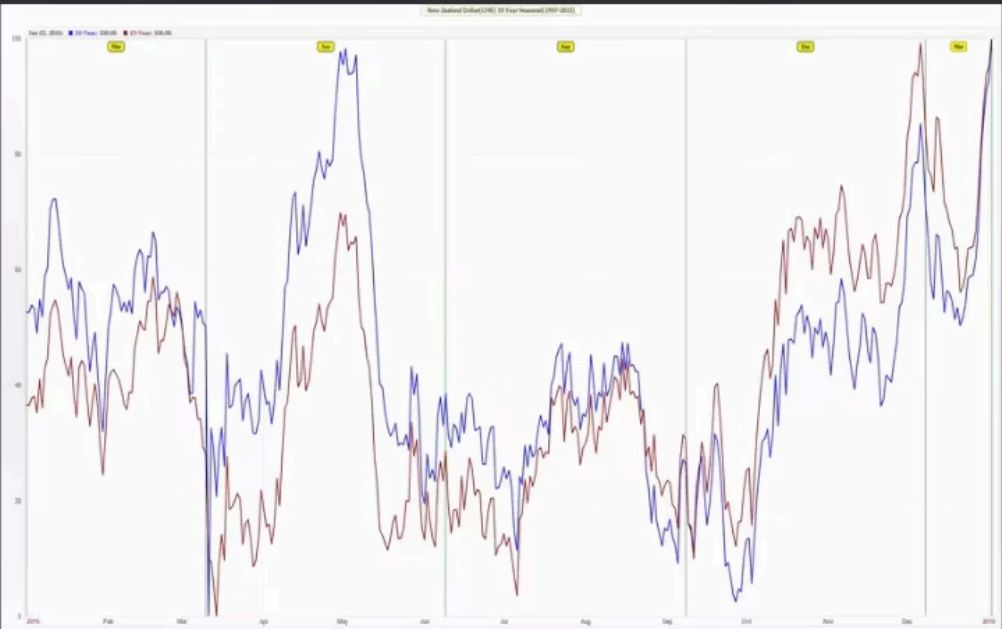
Dual Application

Use Bearish Seasonal Tendencies to trade with the Trend

Or use them as guides to lead to the next trading opportunity (Bullish Quarterly Shift)

Bearish Seasonals In HTF Analysis:

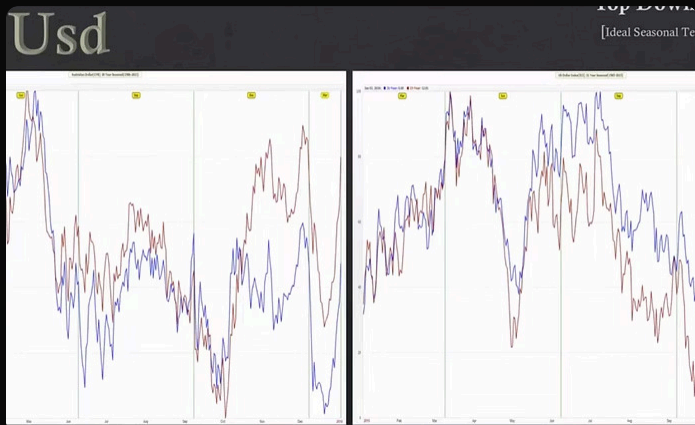
1. Futures or Commodity markets are not the same as Forex. The underlying currency market may move in tandem in a Forex pair or it may be inverted – based on the pairing with another currency.
2. New Zealand Dollar for instance can be tracked in Forex with the NzdUsd pair. It is the first currency in the pair's name – thus is expected to move in tandem with the New Zealand Dollar futures movement.
3. Seasonals can provide trade conditions that may align your trading in the direction of the next Quarterly Shift or it may not. The following examples in the Kiwi [New Zealand Dollar] will highlight the influences seasonal tendencies can create in Bearish setups that lead to unique trade framework or into Quarterly Bullish Shifts after a tradeable drop in price.



Historical data shows consistent patterns across different years, even during major market events like the 2008 Financial Crisis. By studying these patterns from 2007–2016, traders can identify high-probability seasonal tendencies that repeat with remarkable consistency.

Visit www.MRCI.com for Seasonal Tendency presentation from Steve Moore (**Recommended by ICT himself**)

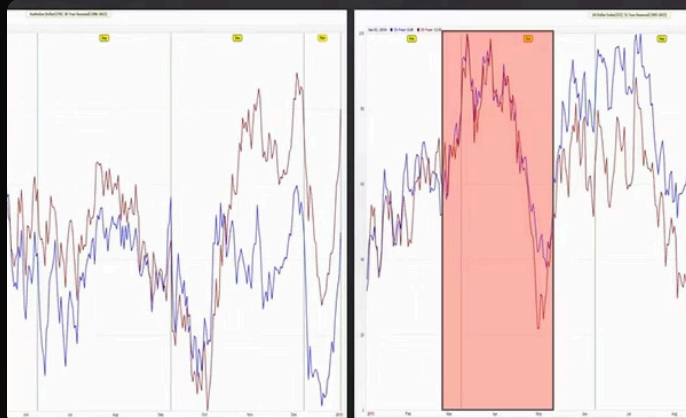
Ideal Seasonal Tendencies



AUD/USD vs DXY

March – May seasonal pattern

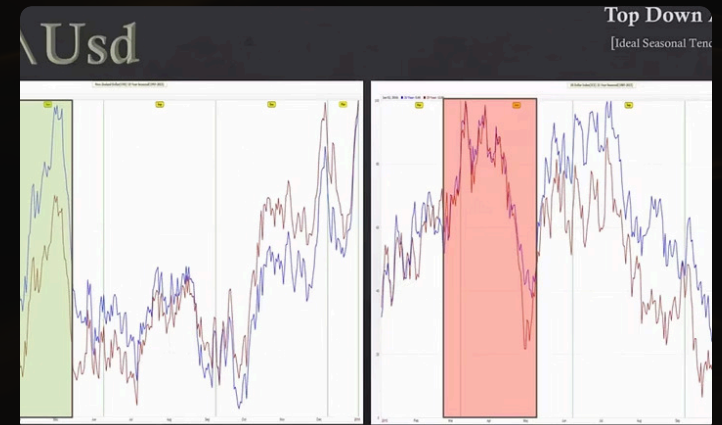
Red Line: 15Y of Data, Blue Line: 40Y of Data



NZD/USD vs DXY

March – May seasonal pattern

Kiwi shows consistent behavior during this period



EUR/USD vs DXY

June – July seasonal pattern

Fiber displays inverse correlation with DXY

Additional currency pairs show distinct seasonal patterns:

- GBP/USD (Cable) vs DXY: March – May
- USD/CHF (Swissie) vs DXY: June – July
- USD/JPY vs DXY: March – May
- USD/CAD vs DXY: March – May

Always start your trading day by reviewing macro factors like seasonal tendencies, higher time frames, and economic events to establish a strong directional bias.



Money Management

2%

Risk Per Trade

Maximum percentage of account to risk on any single position

6%

Max Portfolio Risk

Total risk exposure across all open positions

3:1

Risk-Reward Ratio

Minimum profit target relative to risk amount

Effective money management is crucial for long-term trading success. By limiting risk per trade to a small percentage of your account, you can withstand losing streaks without significant drawdowns. The combination of proper position sizing, risk management, and favorable risk-reward ratios creates a sustainable trading approach.

Remember that consistency in applying money management rules is just as important as having a strong trading strategy. Even the best trading system will fail without proper risk controls.

Defining HTF PD Arrays



Premium

Old High/Low
Rejection Block
Bearish Order Block
Fair Value Gap
Liquidity Void
Bearish Breaker
Mitigation Block



Equilibrium

Middle balance point in price



Discount

Mitigation Block
Bullish Breaker
Liquidity Void
Fair Value Gap
Bullish Order Block
Rejection Block
Old Low/High

PREMIUM: Higher price levels above Equilibrium

EQUILIBRIUM: Middle balance point of the range (CE)

DISCOUNT: Lower price levels below Equilibrium

When analyzing for lower prices (to a Discount), look for the order above and look for:

- Bullish targets or places to long from
- Key technical levels where price is likely to reverse

When looking for prices to move to a Premium (expecting prices to move higher) do your analysis in the order above and look for:

- Identify bearish targets or levels to short from
- Look for confluence with other technical factors

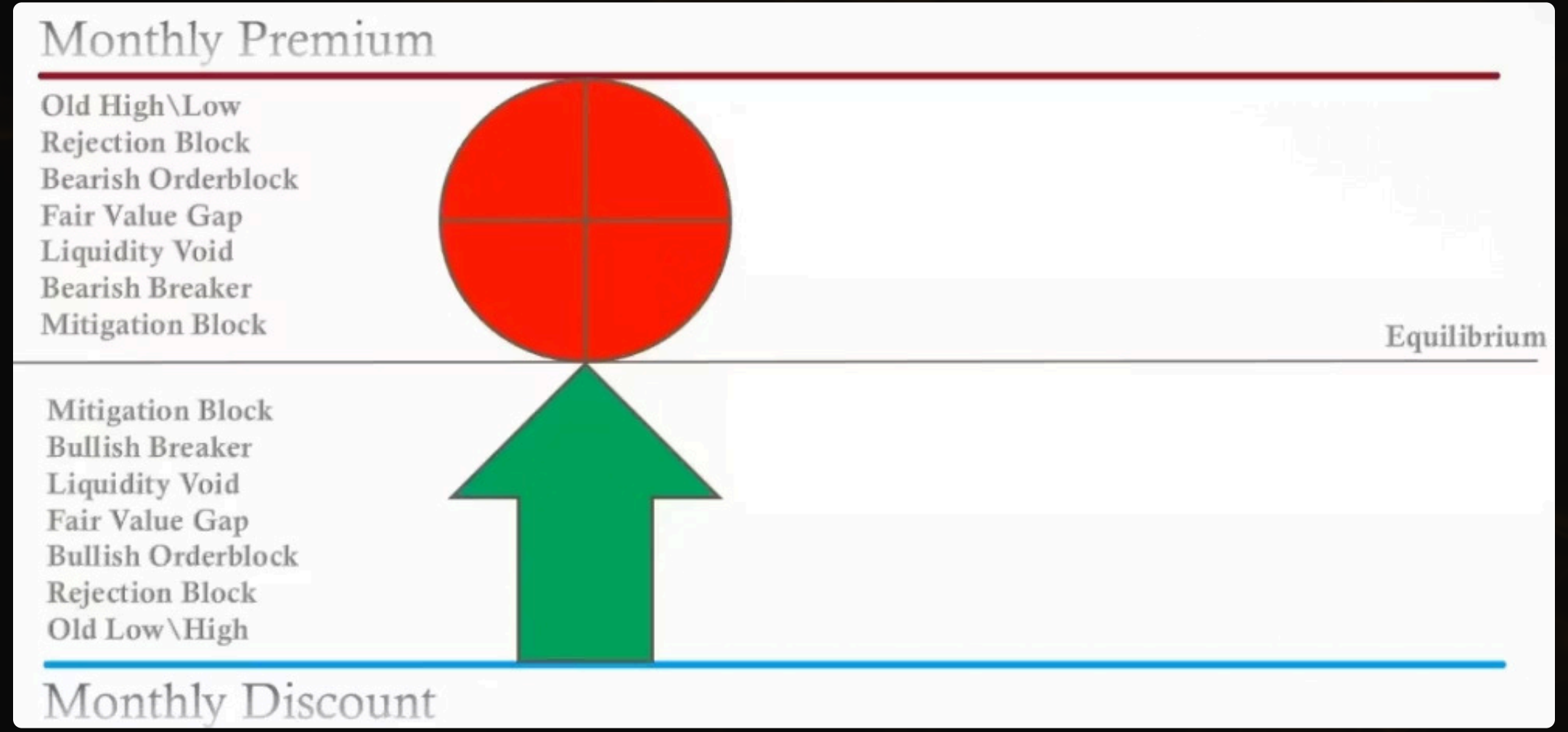
Looking for one of this arrays to target one of these Discount Arrays and Vice Versa

Trade Conditions & Setup Progressions



The progression of trade setups should be analyzed across multiple timeframes:

- Monthly: Establish primary trend direction
- Weekly: Identify long-term hedging footprints
- Daily: Pinpoint precise entry and exit points



By understanding how setups progress from higher timeframes down to lower timeframes, traders can align with institutional order flow and improve their probability of success.

Stop Entry Techniques For Long Term Traders

Bullish Method (Buy Stops)

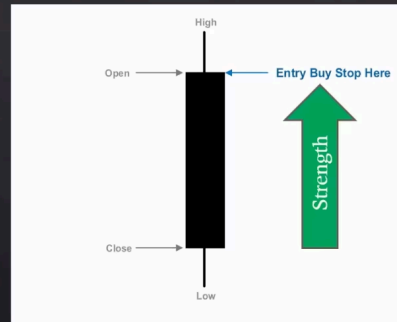
Entry: Place buy stop at Bearish Candle Open

Buying With Stop Orders:

The Monthly & or Weekly should suggest Institutional Order Flow will be seeking a PD Array above Daily market price.

The Daily should post a BEARISH candle. The Daily chart must close the candle with a DOWN close – it is not valid while the Daily chart candle is trading or forming.

Buy Stop is placed at Bearish Candle Open.



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Bearish Method (Sell Stops)

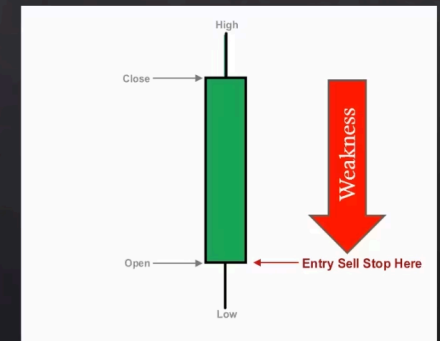
Entry: Place sell stop at Bullish Candle Open

Selling With Stop Orders:

The Monthly & or Weekly should suggest Institutional Order Flow will be seeking a PD Array below Daily market price.

The Daily should post a BULLISH candle. The Daily chart must close the candle with a UP close – it is not valid while the Daily chart candle is trading or forming.

Sell Stop is placed at Bullish Candle Open.



Stop Loss: Below the most recent Swing Low on the Daily Chart

Stop Loss: Above the most recent Swing High on the Daily Chart

Important considerations:

- Confirm both methods with Monthly and Weekly charts for Directional Bias
- Align with a Daily PD Array (like an Order Block/FVG)
- These techniques work best for long-term position trades
- They help avoid emotional decision-making during entry

By using stop entries, traders can ensure they only enter the market when price action confirms their analysis, reducing the likelihood of entering prematurely.

Limit Order Techniques For Long Term Traders

Bullish Limit Order Method

Entry: Place limit buy order at Bearish Candle's Close

This technique allows for better entry prices when the market is expected to reverse from a downtrend

Particularly effective when aligned with support zones and order blocks

Key Considerations

Confirm with multiple timeframe analysis

Look for confluence with other technical factors

Set appropriate stop loss levels based on recent swing points

Determine position size based on account risk parameters

Bearish Limit Order Method

Entry: Place limit buy order at Bullish Candle's Close

This technique allows for better entry prices when the market is expected to reverse from a downtrend

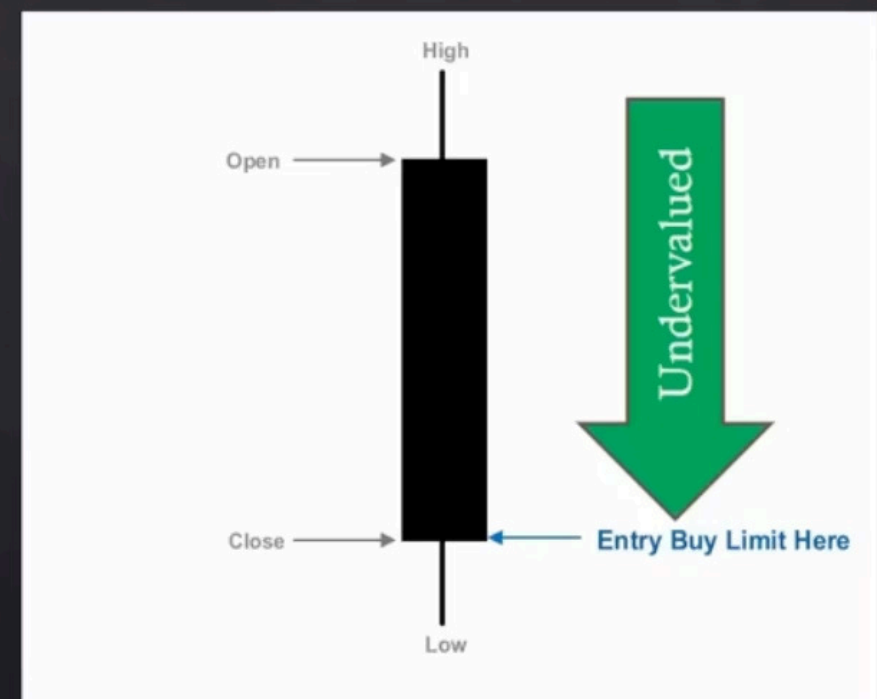
Particularly effective when aligned with support zones and order blocks

Buying With Limit Orders:

The Monthly & or Weekly should suggest Institutional Order Flow will be seeking a PD Array above Daily market price.

The Daily should post a BEARISH candle. The Daily chart must close the candle with a DOWN close – it is not valid while the Daily chart candle is trading or forming.

Buy Limit is placed at Bearish Candle Close.



Limit orders are particularly effective for long-term traders who want to enter positions at specific price levels. By planning entries in advance, traders can avoid emotional decisions and ensure they're getting the best possible price for their position.

Position Trade Management

Initial Position

Set stop loss below/above the lowest low/highest high of the last 40 trading days.



Mid-Range (50% Target)

Tighten stop to lowest low/highest high of the last 20 trading days.

Trend Continuation

Allow price to seek liquidity while maintaining protection against reversals.



Your stop loss strategy should evolve as your position matures. This trailing approach gives trades room to develop while progressively securing profits.

Position management complements your entry techniques by focusing on capital preservation once in the market.

Bullish Market Conditions:

1. Anticipate potential Bullish Seasonal Tendency.
2. Look for Intermarket Analysis confirmations.
3. Refer to Interest Rate Yields direction to confirm.
4. Consult HTF Monthly & Weekly charts for PDA.
5. Expect a Quarterly Shift & intermediate swing.
6. Use Daily PDA to frame your Bullish setup.
7. Determine if you will enter by Stop or Limit.
8. Trail stop loss below the lowest low in last 40 trading days.



Bearish Market Conditions:

1. Anticipate potential Bearish Seasonal Tendency.
2. Look for Intermarket Analysis confirmations.
3. Refer to Interest Rate Yields direction to confirm.
4. Consult HTF Monthly & Weekly charts for PDA.
5. Expect a Quarterly Shift & intermediate swing.
6. Use Daily PDA to frame your Bearish setup.
7. Determine if you will enter by Stop or Limit.
8. Trail stop loss above the highest high in last 40 trading days.

